



MODULE 03 · DISCIPLINE

Risk & Sizing

Most accounts aren't lost on bad ideas — they're lost on good ideas sized wrong. This is the habit that keeps you in the game long enough to get good.

BEGINNER

20 MIN READ

"Discipline before conviction."



BY THE END, YOU WILL BE ABLE TO

01

Define your **risk before** you ever click enter

02

Place a **stop on structure** and size the position to it

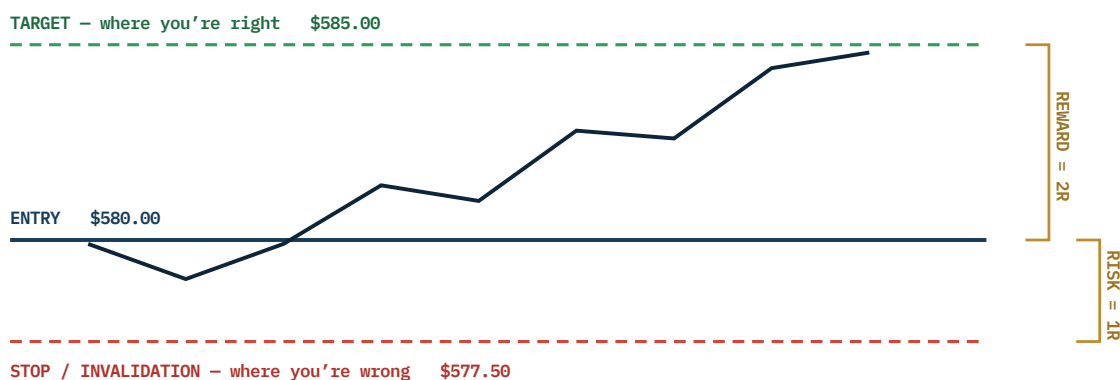
03

Use a **daily stop & no-chase rule** to protect capital

01 THE ONE RULE BENEATH ALL THE OTHERS

Decide what you'll lose before you click

Every trade has three prices fixed *before* entry: where you get in, where you're wrong, and where you're right. Define them first and the trade manages itself.



The distance from **entry to stop** is your risk — call it **1R**, one unit of risk. Everything else is measured in R. A target two times that distance away is a **2R** reward. Thinking in R turns money into a clean ruler you can compare across every trade.

◆ KEY IDEA

You don't control whether a trade wins. You **do** control how much it costs when it loses. Define 1R before entry and the worst case is known, planned, and survivable.

02 SIZE THE POSITION TO THE RISK

How many shares? Let the math decide

Beginners pick a share count first and hope. Professionals pick a *dollar risk* first, then let one formula hand them the size.

THE ONLY SIZING FORMULA YOU NEED

$$\text{Shares} = (\text{Account} \times \text{Risk \%}) \div (\text{Entry} - \text{Stop})$$

dollars you'll risk ÷ dollars of risk per share = the size that makes them match

WORKED EXAMPLE

ACCOUNT	RISK PER TRADE	RISK / SHARE	POSITION SIZE
\$25,000 total capital	1% = \$250 what you'll lose if wrong	\$2.50 entry \$580 – stop \$577.50	100 sh \$250 ÷ \$2.50

Notice what just happened: the **stop distance set the size**, not the other way around. A **tight** stop allows more shares for the same dollar risk; a **wide** stop forces fewer. Your loss in dollars stays fixed at \$250 either way — that is the entire point.

■ ON THE 1% FIGURE

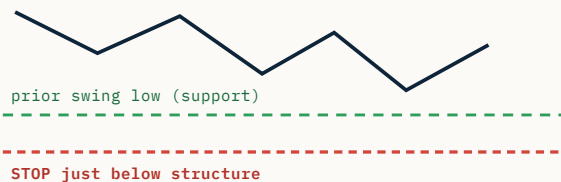
Many traders cap risk per trade at a small slice of the account — figures like 1–2% are commonly cited — so a string of losses can't end the account. The right number is personal; the **discipline of choosing one in advance** is universal.

03 WHERE THE IDEA IS PROVEN WRONG

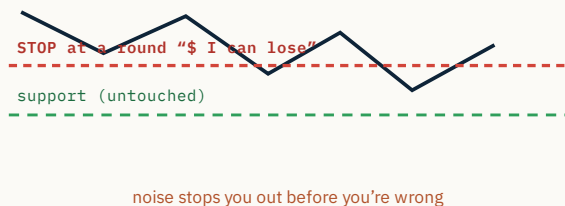
Stops belong on structure, not on hope

A stop isn't a punishment — it's the price at which your reason for the trade no longer exists. Put it where being hit actually *means something*.

GOOD — STRUCTURAL STOP



AVOID — ARBITRARY STOP



On the left, the stop sits just beyond a level that, if broken, genuinely changes the picture. On the right, the stop is placed at a comfortable dollar amount that has **nothing to do with the chart** — so normal wiggle ejects you from a trade that was still valid.

◆ THE RIGHT ORDER

Find the invalidation level **first**. Then size the trade to it (page 02). Never widen a stop just to fit a position you already entered.

▲ NEVER DO THIS

Moving a stop **further away** mid-trade because price is approaching it. That converts a planned 1R loss into an unplanned one.

04

WHY YOU CAN BE WRONG OFTEN

The math of being wrong profitably

A good reward-to-risk ratio means you don't need to be right often. This is the quiet edge behind patient trading.

REWARD : RISK	WIN RATE JUST TO BREAK EVEN	MEANING
1 : 1	50%	wins must outnumber losses
1.5 : 1	40%	you can lose more than you win
2 : 1	33%	right one time in three is enough
3 : 1	25%	wrong three of four — still flat

Read the 2:1 row again: with a target twice your risk, you can **lose two out of every three trades** and still break even. Win a little more often than that, or let winners run past 2R, and the account grows — even with a losing-looking record.

◆ KEY IDEA

Edge isn't being right a lot. It's making sure **your winners are bigger than your losers**, then taking enough trades for the math to play out. Protect R, and the win rate can take care of itself.

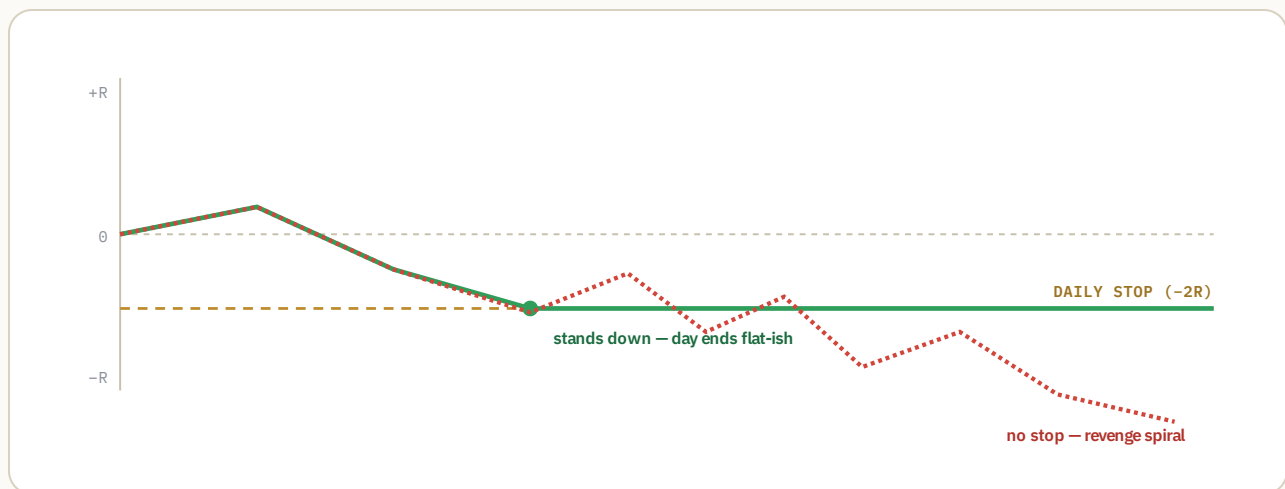
▲ THE FLIP SIDE

The reverse is brutal: at **1:2** (risking 2 to make 1) you'd need to win two of every three trades just to tread water. Chasing entries quietly pushes you here — which is the next page.

05 A CIRCUIT BREAKER FOR THE TRADER

Know when to stop for the day

Position sizing protects you from one bad trade. A *daily stop* protects you from the far greater danger: a bad **mood** compounding across several.



Both traders had the same morning. One hit a pre-set daily loss limit, **closed the laptop**, and lived to trade tomorrow near flat. The other kept “making it back,” traded angrier and bigger, and turned a normal red day into a hole.

■ SET IT IN ADVANCE

Pick a daily limit (e.g. **2–3R**) *before* the session, when you’re calm. In the heat of a losing run you will not choose well.

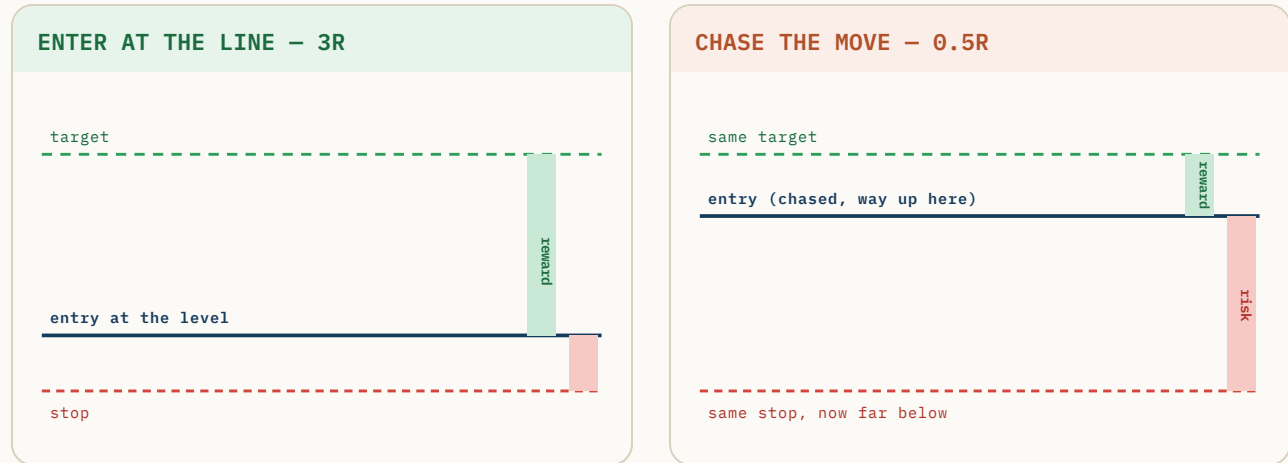
▲ REVENGE TRADING

The urge to immediately win back a loss. It trades emotion, not structure — and it’s what the daily stop exists to interrupt.

06 WHY THE ENTRY PRICE IS EVERYTHING

Don't chase

Chasing feels like conviction. On the math, it's just paying a worse price for the same idea — quietly destroying your reward-to-risk.



Same idea, same target, same stop. The **only** thing that changed is the entry price — and it flipped a clean 3R trade into a 0.5R coin-flip. When price has already run, the good trade is usually **gone**, not late.

◆ THE NO-CHASE RULE

If price is no longer near your line, you don't have a trade — you have FOMO. Let it go. There is always another setup; there is not always another account.

07 THE PRE-TRADE CHECKLIST

Six questions before every click

Risk management isn't a feeling — it's a checklist you run the same way every time, until it's automatic.

- ☐ Where is my **entry**, and is price actually near it (no chase)?
- ☐ Where is the **invalidation** — the level that proves me wrong?
- ☐ What is **1R** in dollars per share (entry – stop)?
- ☐ How many **shares** keeps my loss at my fixed risk %?
- ☐ Is the **reward at least ~2R**? If not, pass.
- ☐ Am I within my **daily stop**, and am I calm?

THE EXAMPLE, START TO FINISH

On a \$25,000 account, you risk **1% (\$250)** per trade. Price pulls back to a support level at **\$580**; invalidation sits just below at **\$577.50**, so 1R is **\$2.50/share**. Sizing: $\$250 \div \$2.50 = 100$ shares. Your target at **\$585** is **2R**. If wrong, you lose a planned \$250; if right, you make \$500. You're calm and down only 0.5R on the day — well inside your **2R daily stop**. Every box ticks. You take it.

■ THE WHOLE POINT

None of this predicts the future. It just guarantees that **no single trade, and no single day, can take you out of the game**. Survival first — skill compounds after.

08

LOCK IT IN

What to carry forward

Six habits that, used together, are most of what separates traders who last from traders who don't.

- 1 Fix **entry, stop, and target** before you click — never after.
- 2 Risk is measured in **R**; size the position to it, not the reverse.
- 3 Put stops on **structure**; never widen one mid-trade.
- 4 With **2R+** targets you can be wrong most of the time and still win.
- 5 A **daily stop** ends revenge spirals before they start.
- 6 **Don't chase** — a worse entry quietly ruins reward:risk.

A-Z

QUICK GLOSSARY

Risk (1R)

Dollars from entry to stop — your unit of risk.

Position size

Share count that keeps loss at your fixed risk.

Daily stop

A pre-set loss limit that ends the trading day.

Revenge trade

Trading to win back a loss, on emotion.

Invalidation

The level that proves the trade idea wrong.

Reward:Risk

Target distance compared to stop distance.

No-chase

Skipping entries once price has left your level.

Risk %

Share of the account risked on one trade.

UP NEXT IN THE PATH

Options Basics

Calls, puts, premium, and why cheap isn't cheaper.

04

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